38 In order to implement the proposed system, we do not need to know all the numbers shown in Table 7. To determine the floor price, we need to select a safety margin (15 percent) and make our best guess at what the average sale price for the year will be (CFAF 800). The latter would normally be calculated by combining receipts already locked in through forward sales (1/3 at CFAF 820) with the expected price of future sales (CFAF 790). The former is known by the monopolist, but would have to be estimated by a committee if they were several private cotton companies. If the committee overestimated the share sold forward, the safety margin would be reduced. 51 To determine the second payment, we only need to know the difference between the forecast (CFAF 790) and the actual value of Index A. Cotton companies would be free to sell when they want and how they want, spot or forward; the company selling better or producing more efficiently would make more profit in a level playing field, which is what we want. If growers believed that the system would be applied fairly, they might find it acceptable. A second payment in early June would come at an opportune time because, a few months before the new crops mature, farmers are short of cash and a number apply for crédits de soudure. But the case illustrated on Table 7 was an easy one because, when the floor price was selected, the best bet was that receipts and costs would remain in balance; the floor price was only an insurance against random price falls. When prices are expected to fall, the problem becomes more difficult. Thus if, at the eve of sowing, the best bet had been a 15 percent (or 30 percent) drop in Index A, adding up a 15 percent insurance premium would have reduced the floor price to CFAF 162 (or 146). Net return to growers, which is what really matters since it is what growers actually get, would have fallen by 29 percent (or 42 percent). Reducing the floor price too sharply creates political and economic risks (such as Mali's cotton boycott in 2000/01) which the society may not willing to bear.52 Mali is a case in point. By mid-May 2002, when the floor price of CFAF 180 was announced, the loss was estimated at CFAF 41 per kg of seed cotton for the 2001/02 crop and foreseen as CFAF 38 per kg of seed cotton for the 2002/03 crop. It is clear that the CFAF 180 price did not incorporate any safety margin; it anticipated a subsidy.53 6.2 Who should bear the price risk? The price risk is large for two reasons. First, a 3 cents decline in Index A (from 41 to 38) combined with a 3 cent increase in the value of the euro (from US cents 92 to 95) would result in a 10 percent fall in CFAF export prices and, everything else remaining the same, it would raise Mali's deficit by CFAF 15 billion and Benin's deficit by CFAF 11 billion. Second, our forecasting ability is limited, as shown by the experience of ICAC which issues widely used bimonthly forecasts starting two years before the end of the forecast year. The analysis of these forecasts over the last13 51 If it were believed that one third was sold forward while nothing had been sold, the safety margin would be reduced from 15 percent to 10 percent. 52 Numerous proposals have been made for setting producer prices. According to one proposal, three different prices should be set. The first would be a social price providing a minimum remuneration to growers for their labor; this price, which would define the absolute minimum, could remain unchanged for a few years. The second would be an indicative price announced at sowing time and the third would be the actual price announced at the beginning of the marketing season. Since none of these prices could be set on strictly objective grounds, their determination would lead to a series of lengthy negotiations. We would therefore favor the single floor price with two-step payments outlined above. 53 One cannot be surprised that governments had an impact on the determination of the floor price in several of the countries reviewed. Australia may be the only important country where government abstains from any intervention in the pricing of seed cotton. But, cotton is grown in 1,300 very large farms producing an average of some 1,200 tons of seed cotton each. 1